

Organization

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Course agenda

Date	Main theme
13.04.2026	Definitional basics of organization
20.04.2026	Formal organizational design
27.04.2026	Organization and environment
04.05.2026	Strategic organization design
11.05.2026	Technology and organization
18.05.2026	Information technology, AI, and organization
01.06.2026	Informal organization

Date	Main theme
08.06.2026	Informal organization
15.06.2026	Dynamic perspectives on organizing
22.06.2026	Guest lecture, Felix Ehrenfels, mmmake
06.07.2026	Trends in organization design
13.07.2026	Trends in organization design
17.07.2026	Review and wrap-up

Session 08

Informal organization, part 2: Organizing in the wild

What you should be able to do after this session

Learning goals

- Distinguish formal and informal organization
- Understand that many dynamics in organizations emerge from informal, rather than formal organization
- Analyze informal organizations through the notions of culture, knowledge, power, politics, and conflict



Image source: ChatGPT

Restart

Informal organization continued

Last session

- From formal to informal organization
- Structuration and lines of flight
- Culture
 - Definitions
 - Country culture (Hofstede)
 - Organizational culture (Schein, Deal and Kennedy)
 - Cultural sharing, subcultures, clashes
 - Stories

Today

- Knowledge management
- Power, politics, and conflict

Concepts to capture informal organization



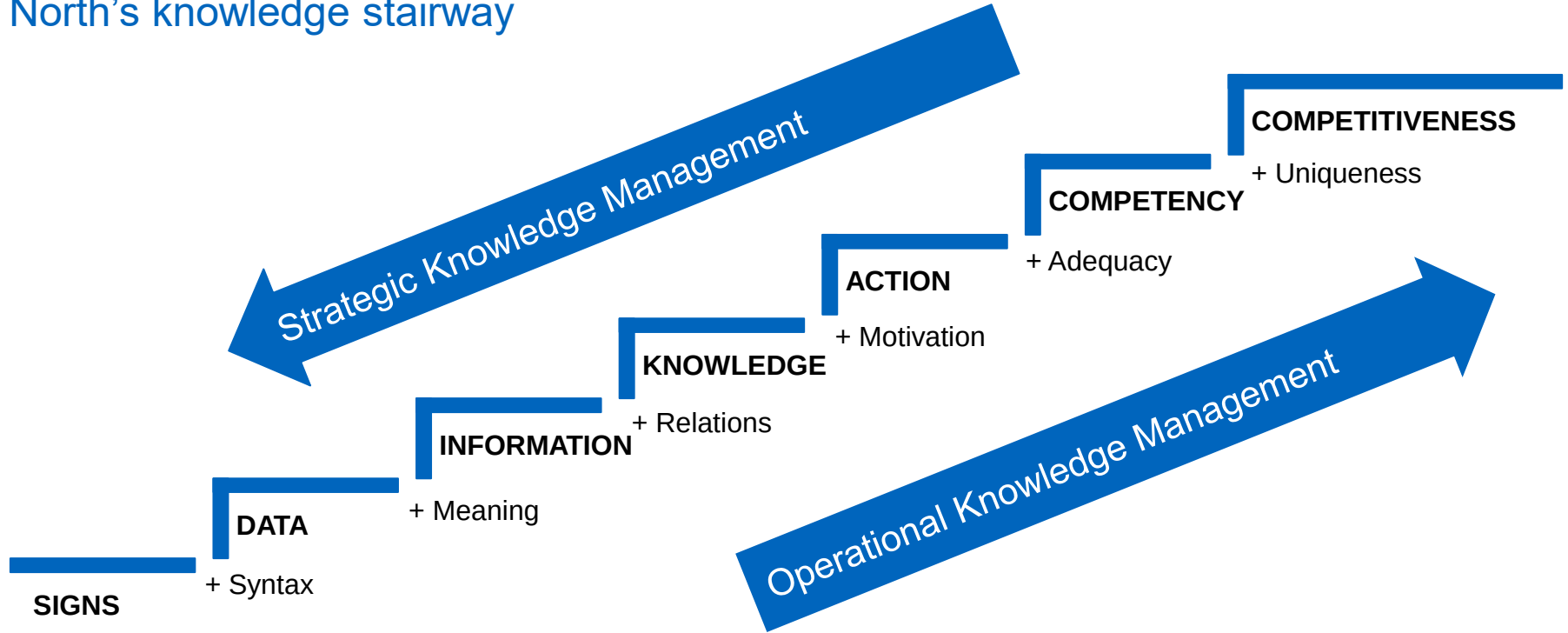
Culture

Knowledge

Power, politics, and conflict

Knowledge and related concepts

North's knowledge stairway



North, K. (2016). Wissensorientierte Unternehmensführung: Wissensmanagement gestalten. Springer.

Key problems of knowledge management



Do we know what we know?

Dow Chemical wanted a patent that the firm had owned for 20 years.



Can we articulate what we know?

Can we explain only with words how we ski or ride a bike?



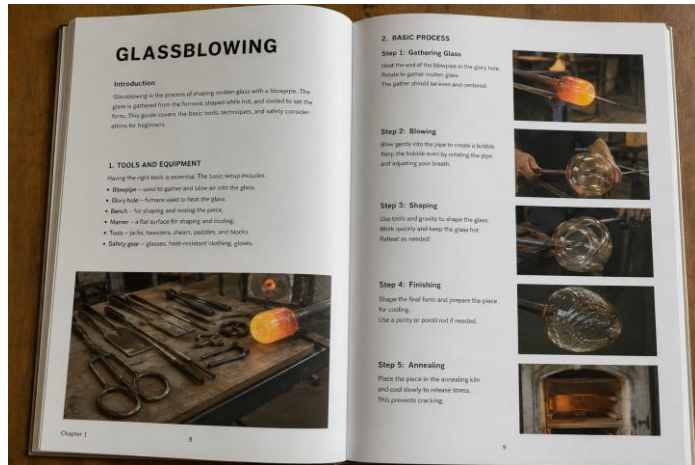
Do we share what we know?

Under which conditions do people share their knowledge with others?

Explicit and implicit knowledge

Explicit knowledge

- Articulable
- Often codified
- Relatively easy to transfer



Implicit knowledge

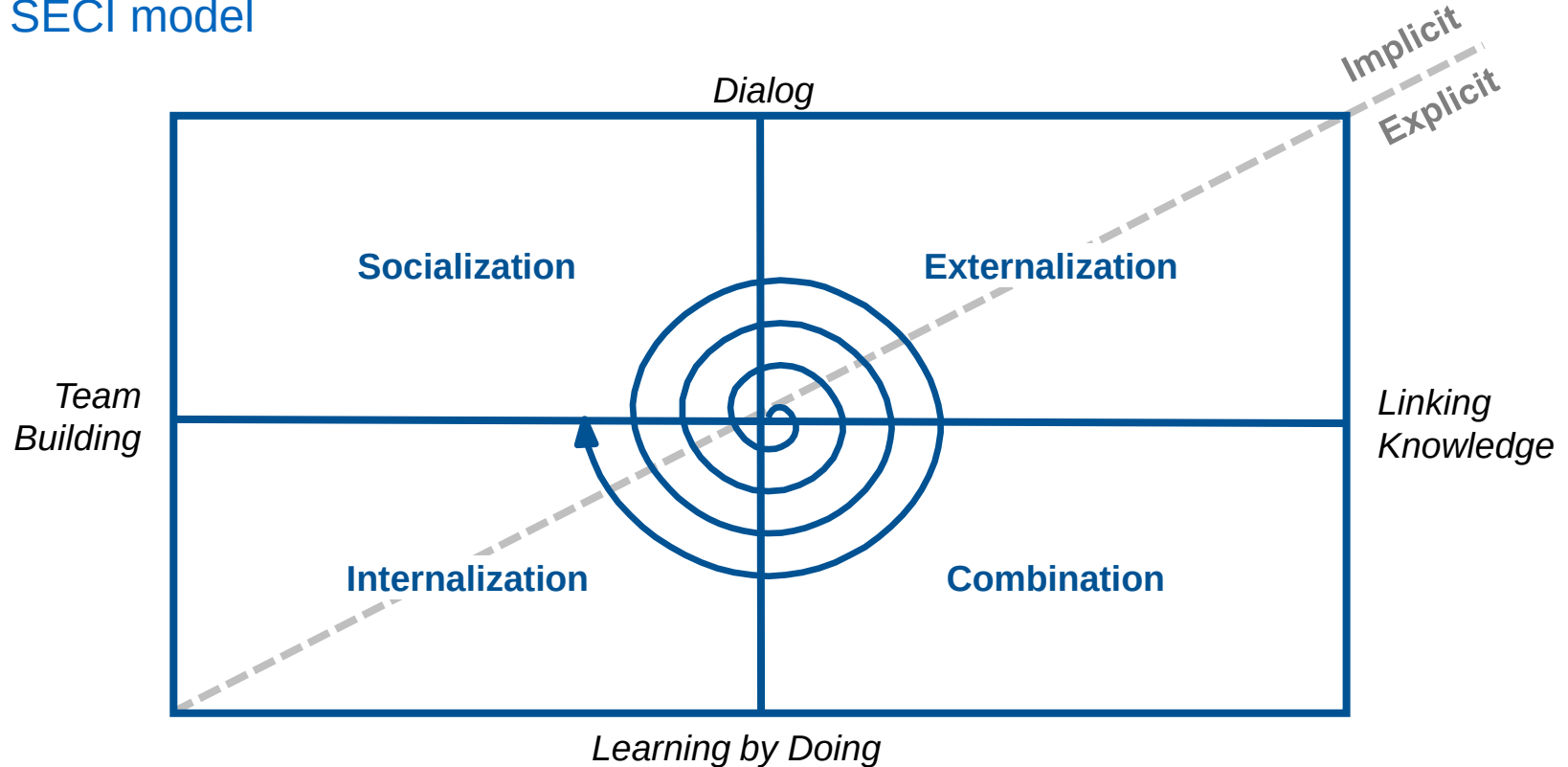
- Intuitive
- Not formalizable
- Basis for competitive advantage



Renzl, B. (2003). Wissensbasierte Interaktion: Selbst-evolvierende Wissensströme in Unternehmen. Deutscher Universitäts-Verlag; Image source: ChatGPT.

Modes of knowledge creation

The SECI model



Nonaka, I., & Takeuchi, H. (1995). The knowledge-creating company: How Japanese companies create the dynamics of innovation. Oxford University Press.

SECI model in practice

Task:

- Choose one practice that is essential for organizations.
- Examples may include onboarding, handling customer complaints, or product development.
- How can you facilitate each step of the SECI model?
- Create one [slide](#) with your key insights.

Goal:

- Deepen your understanding of how knowledge is managed.

Modus:

- Group work.

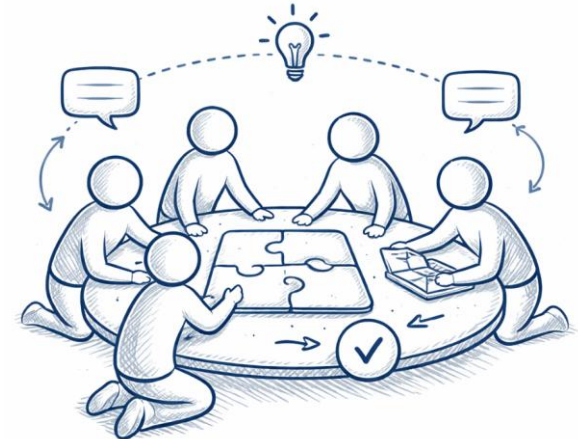
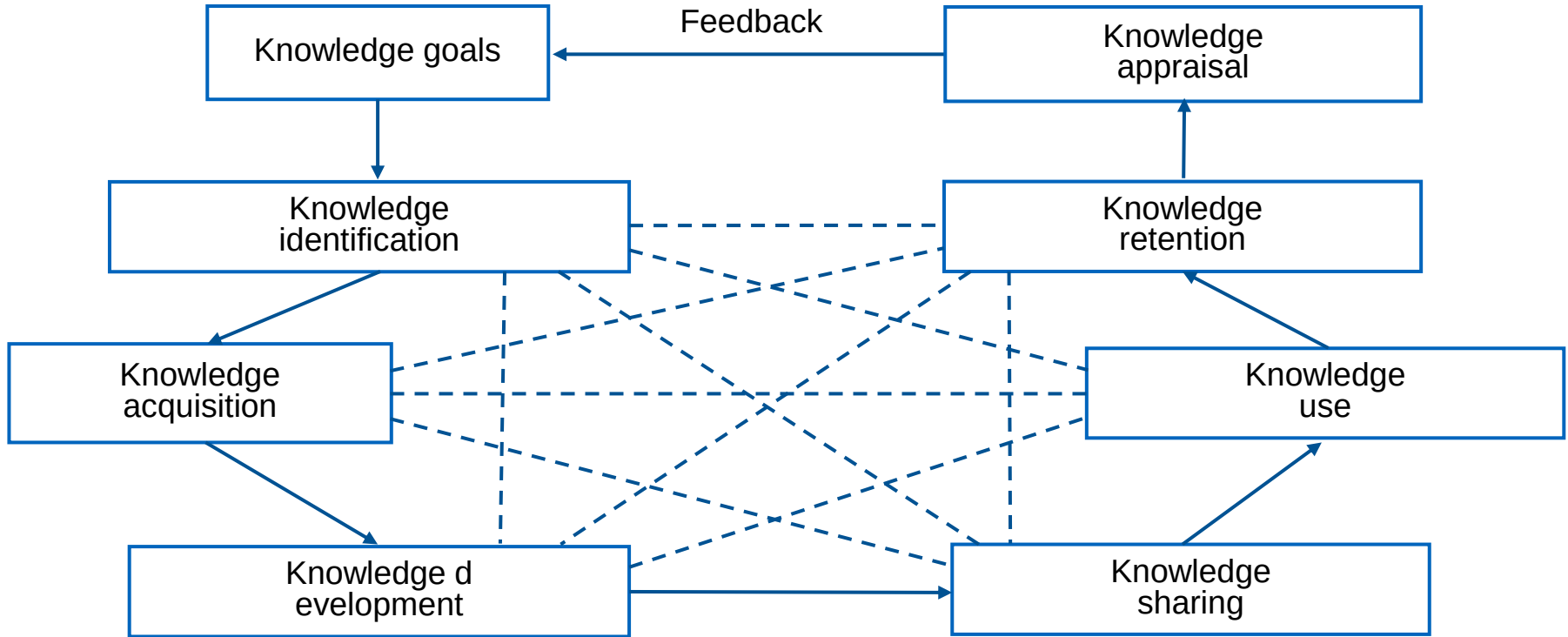


Image source: ChatGPT

Dimensions of knowledge management



Probst, G., Raub, S., & Romhardt, K. (2012). Wissen managen: Wie Unternehmen ihre wertvollste Ressource optimal nutzen. Springer.

Concepts to capture informal organization

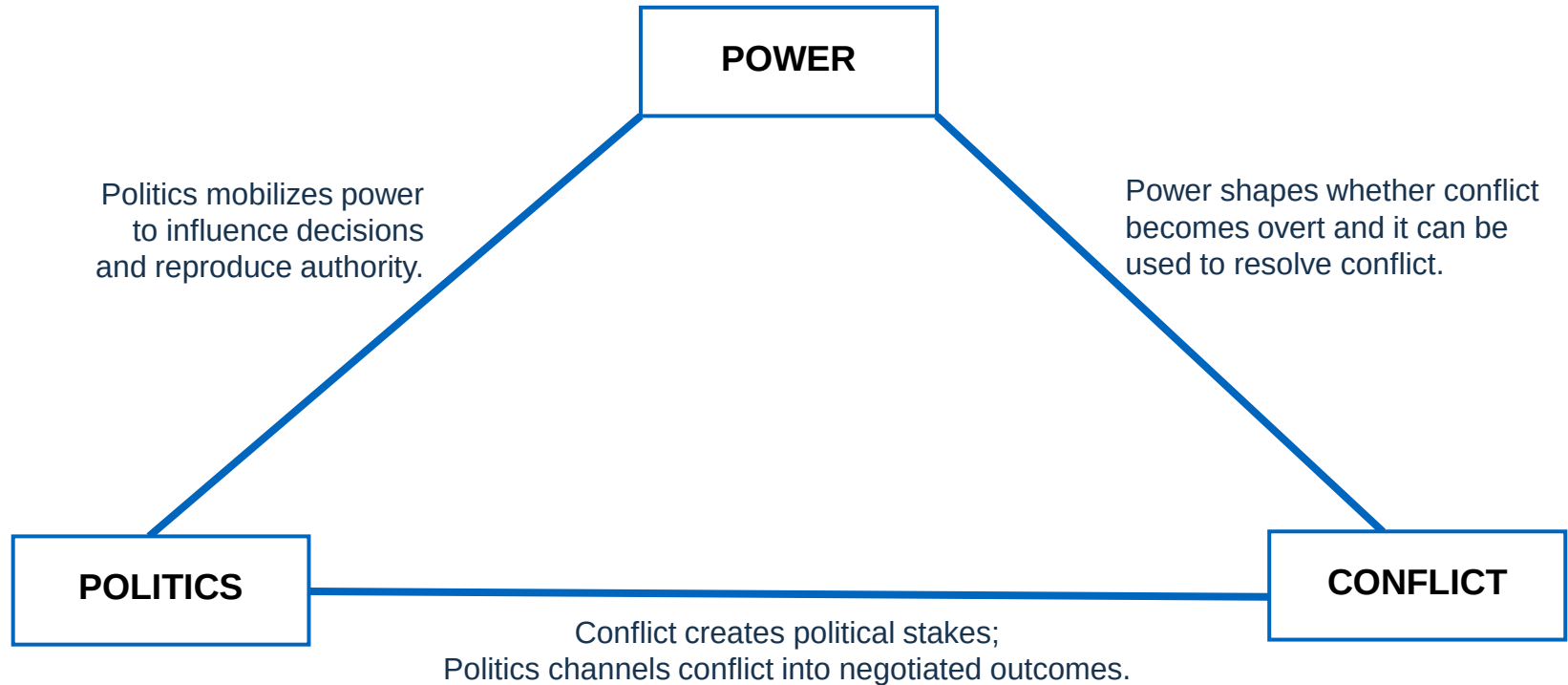


Culture

Knowledge

Power, politics, and conflict

The relationships between power, politics, and conflict



Marxism as a starting point for power in organizations

Marx theorizes capitalism as domination of the proletariat by the bourgeoisie

- Work requires equipment, and equipment requires capital. Thus, workers accept capitalist employment and managerial control.
- But: workers have labor power, because they create return on investments.
- False consciousness: Labor commoditization is presented as a mechanism through which workers embody their own domination.
- Marx predicted that capitalism's internal contradictions would lead to failure. Yet, capitalism survived.
- Today, capitalism and working class are in continuous tension.



Principles of power in organizations



- Organizations involve both cooperation and competition.
- Scarce resources force humans to compete.
- Humans also cooperate and organize for mutual benefit.
- In organizations, power is distributed and used to serve interests.
- Some interests align. Others are contradictory.
- When power is used around interests, organizational action becomes political.

Informal sources of power

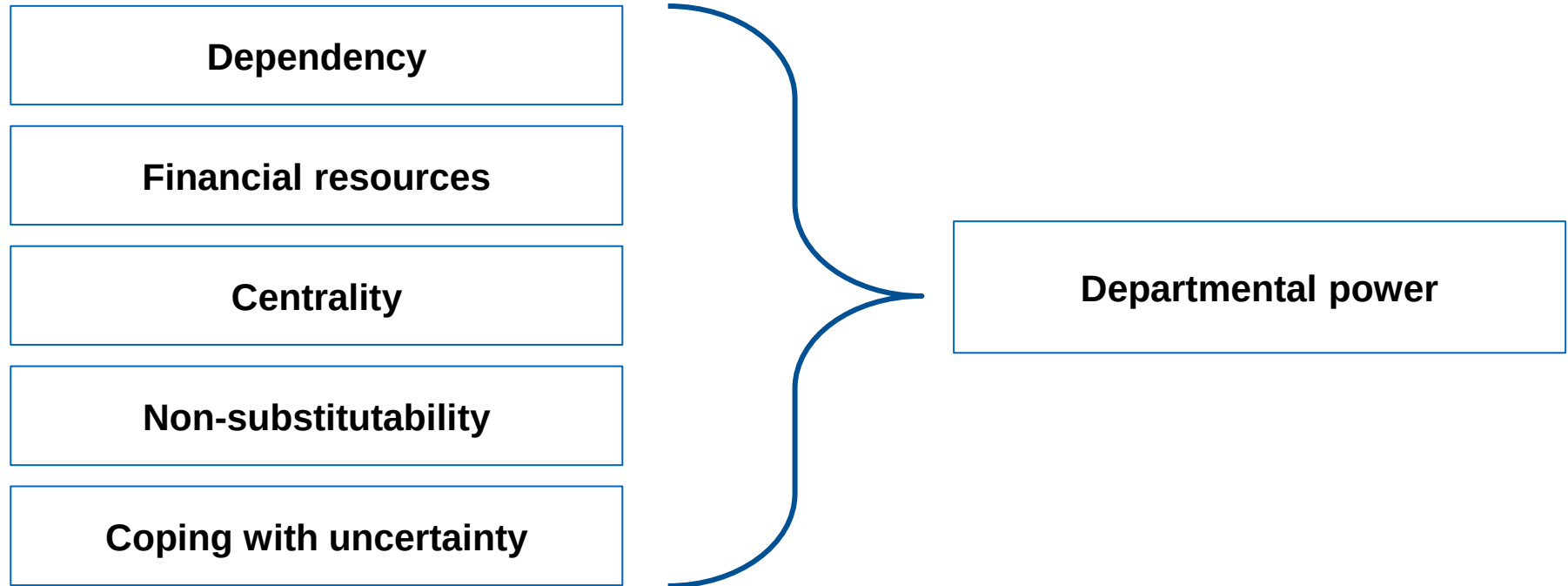


Informal power can allow lower-level employees to counterbalance formal power.

Informal sources of power include:

- Personal characteristics
- Expertise
- Resource control
- Normative sanctions
- Physical and psychological threat
- Opportunity (e.g., access to people with formal power)

Sources of power between horizontal departments



Power in practice

What are practical ways through which a department can increase its power?



Image source: ChatGPT

How power becomes visible in organizations

Activities that make power visible

- Control information flowing to others.
- Gain representation on important committees.
- Control (strategic) agendas by defining, prioritizing, or excluding issues.
- Form internal and external alliances.
- Promote loyal subordinates within the organization.
- Bring in outside experts to bolster own position.

How power becomes visible in organizations

Symbols that make power visible

- High salaries
- Expense accounts
- Rights to use titles
- Office location
- Office size, design, and décor
- Clothing and accessories



Hatch, M. J. (2018). Organization theory: Modern, symbolic, and postmodern perspectives (4th ed.). Oxford University Press; Image source: ChatGPT

Spatial dimension of power



Spatial politics

- Architectural design and space assignments can become politicized.
- They affect control over symbols of power and identity.
- People may gain status through association with symbolized artifacts.

Territorialization and identity

- Humans mark and defend territory.
- Organizational groups mark territories through visual artifacts.
- Territorial markers can signal inclusion, exclusion, and group identity.
- Strong group identity can interfere with inter-group cooperation and contribute to silos.

Spatial dimension of power

Exercise

Task:

- Find one image from a real organization that shows power.
- Copy the image to the [Google drive](#).
- Discuss how it shows power.

Goal:

- Deepen your understanding of the spatial dimension of power.

Modus:

- Pair work.

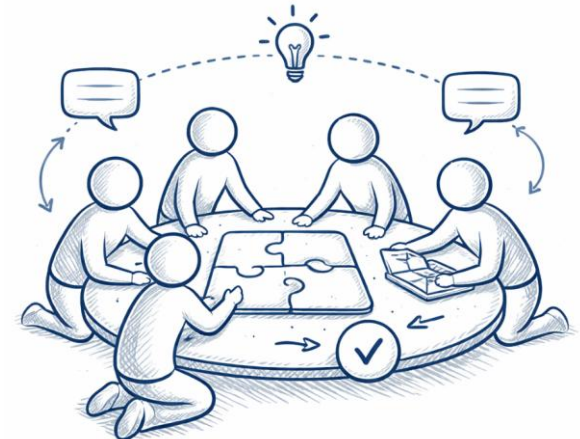
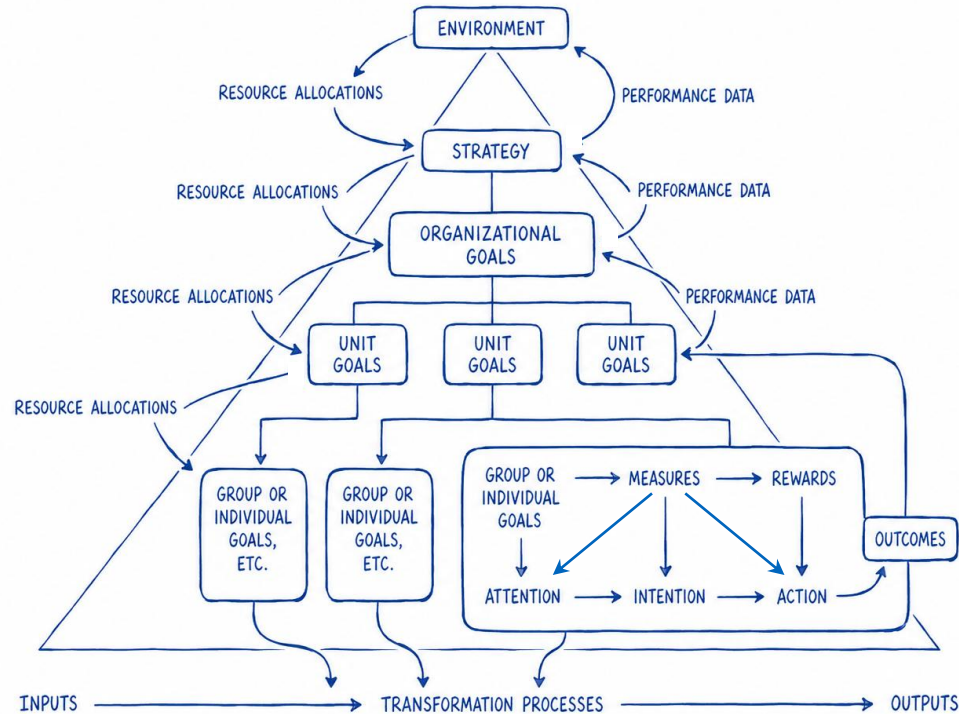


Image source: ChatGPT

Cybernetic control system for organizations



Hatch, M. J. (2018). Organization theory: Modern, symbolic, and postmodern perspectives (4th ed.). Oxford University Press.

Defining organizational conflict



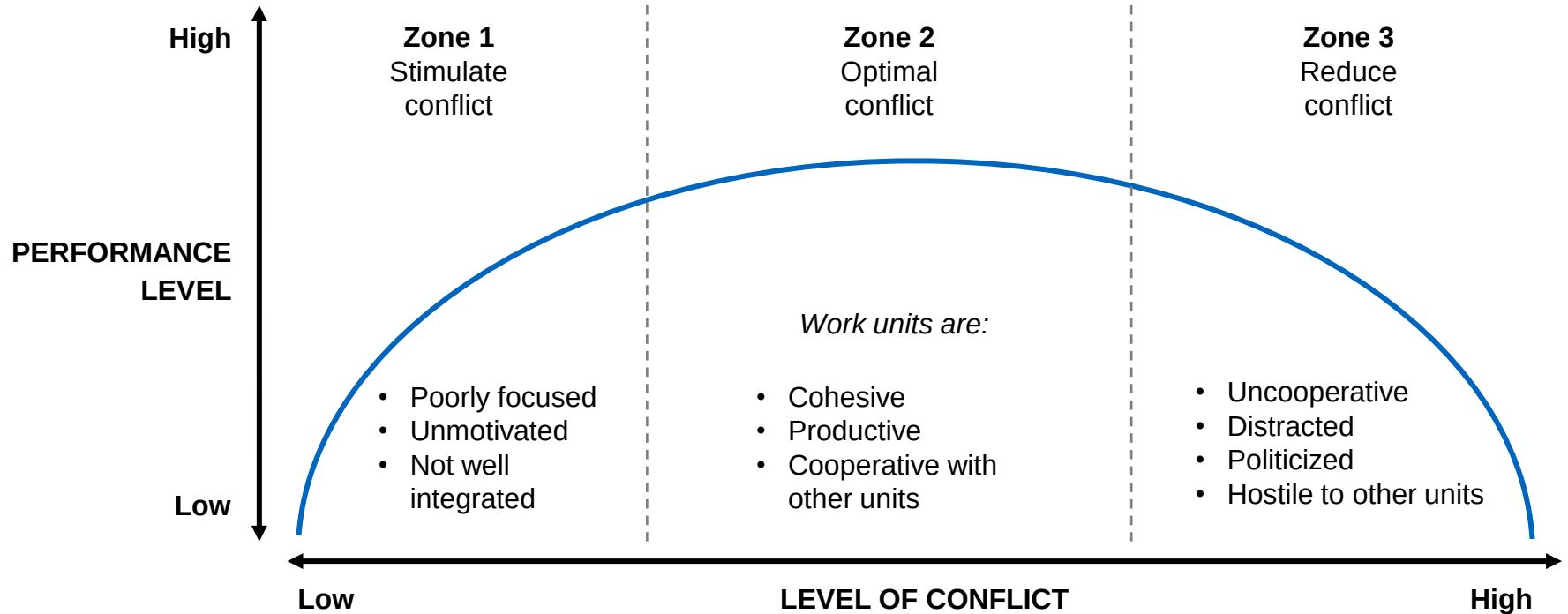
What is conflict?

- Conflict is a state in which one or more actors perceive the efforts or outcomes of others as interfering with their own.
- Can become visible in efforts at hindering, forcing, or injuring others.

Organizational conflict can occur:

- Between individuals.
- Between groups.
- Between organizations.

Conflict and performance



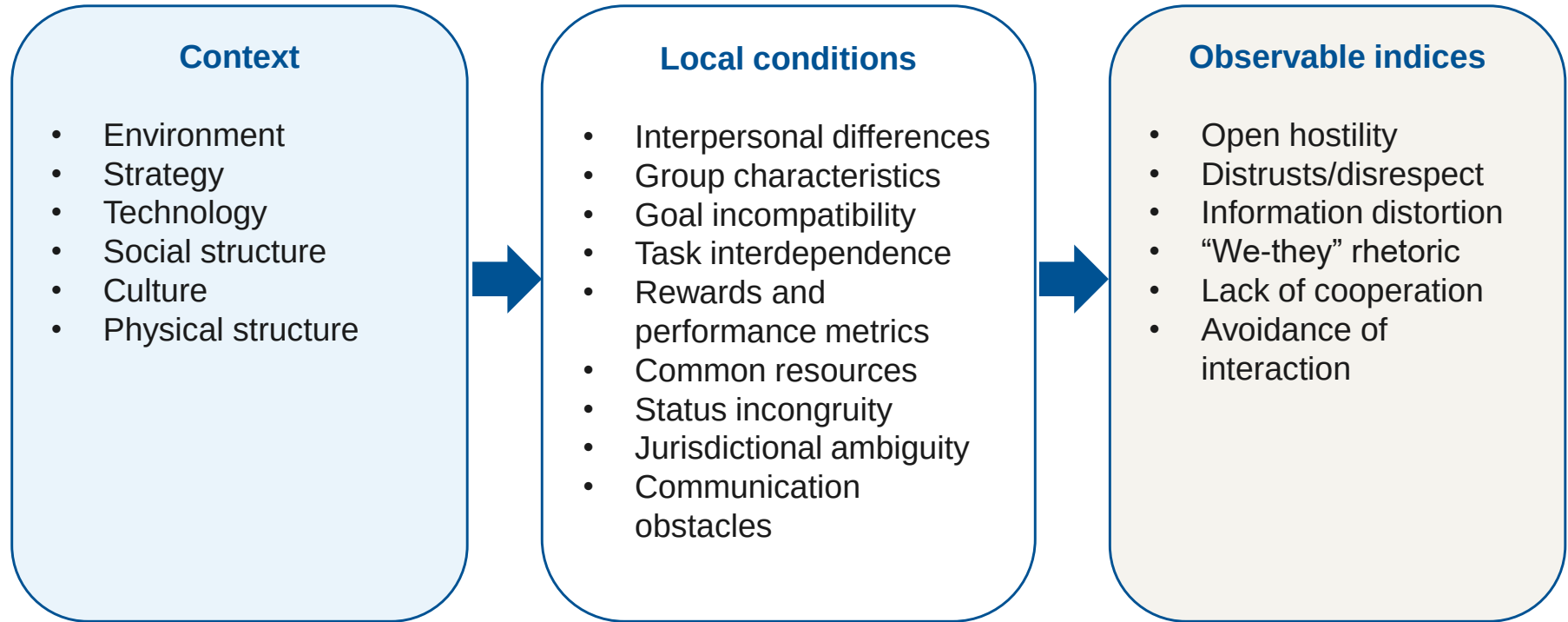
Conflict management strategies

Recommended action	Conflict management strategy
Physical separation	Avoidance
Increase resources	Avoidance
Repress emotions and opinions	Avoidance
Create superordinate goals	Collaboration
Emphasize similarities	Collaboration
Negotiate	Compromise
Appeal to higher authority	Suppression
Physical proximity	Confrontation

Adapted from Hatch, M. J. (2018). Organization theory: Modern, symbolic, and postmodern perspectives (4th ed.). Oxford University Press.

Possible sources of inter-unit conflict

According to Walton and Dutton (1969)



Hatch, M. J. (2018). Organization theory: Modern, symbolic, and postmodern perspectives (4th ed.). Oxford University Press.

Marketing versus manufacturing



An example

Marketing

- **Breadth of product line:** Customers demand variety
- **New product introduction:** New products are central
- **Product scheduling:** Customers require faster response and shorter lead times
- **Physical distribution:** The right merchandise should be available in inventory
- **Quality:** Reasonable quality should be possible at lower cost

Manufacturing

- **Breadth of product line:** A broad line creates short, uneconomical runs
- **New product introduction:** Design changes are expensive
- **Product scheduling:** Commitments need to be realistic and reliable
- **Physical distribution:** Huge inventories are too expensive
- **Quality:** Options should not be too hard to manufacture and still offer high customer utility

Negotiation strategies

Win-win strategy

1. Define the conflict as a mutual problem.
2. Pursue joint goals.
3. Find creative agreements that satisfy both groups.
4. Be open, honest and accurate in communicating the group's needs, goals and proposals.
5. Avoid threats, to reduce the other's defensiveness.
6. Communicate flexibility of position.

Win-lose strategy

1. Define the problem as a win–lose situation.
2. Pursue own group's outcomes.
3. Force the other group into submission.
4. Be deceitful, inaccurate and misleading in communicating the group's needs, goals and proposals.
5. Use threats, to force submission.
6. Communicate strong commitment (rigidity) regarding one's position.

Volkswagen and IG Metall



An example

Volkswagen and IG Metall illustrate codetermination as labor-management cooperation.

Key elements

- Workers receive significant representation in company decision-making.
- Volkswagen and IG Metall formed a strong partnership within this system.
- During financial pressure, workers accepted reduced salaries and short-hours working.
- In 2004, the union agreed to a pay freeze in return for seven years of job security.
- European and World Works Councils created representation across plants.
- Globalization and cost pressures continue to challenge cooperation.

Analytical framework: The structuring of informal organization

Effect domain	Diagnostic question	Key concepts to apply	What students should look for in the case
Culture	Which shared values and assumptions shape how people actually behave?	Artifacts, values, basic assumptions, subcultures, cultural clash, stories	Repeated stories, symbols, rituals, “how we do things here”, informal sanctions, differences between official values and everyday behavior
Knowledge	How is knowledge created, shared, or hidden in practice?	Implicit and explicit knowledge, SECI model, knowledge management functions	Undocumented expertise, dependence on experts, informal learning, weak documentation, barriers to sharing what people know
Power, politics, and conflict	Who has influence beyond formal hierarchy, and how are interests contested?	Formal and informal sources of power, coalitions, resource control, conflict management	Informal leaders, agenda-setting, resource scarcity, hidden interests, group tensions, inclusion and exclusion, conflict between departments or roles

Case Study

Task:

- Solve the case study in Moodle. Each team focuses on one domain of informal organization.
- Use the concepts from the analytical framework explicitly in your diagnosis.
- Create a [presentation](#) with your results.

Goal:

- Deepen your understanding of informal organization in practice.

Modus:

- Group work.

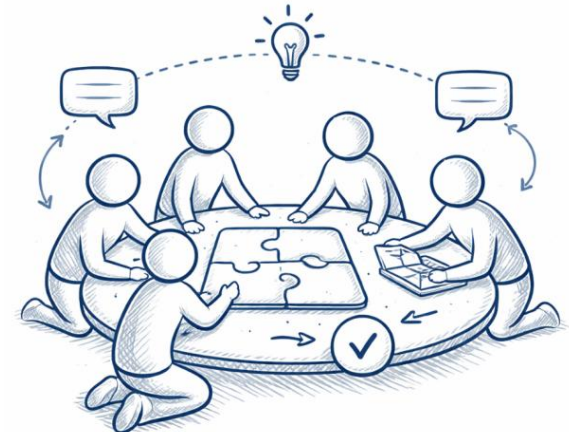


Image source: ChatGPT

Takeaways from today

Knowledge can be implicit or explicit, where the former becomes the basis for competitive advantage

Thus, organizations actively strive to manage knowledge.

Power is essential to understand informal organization. It becomes visible through practices and symbols.

Conflict can be productive or dysfunctional, emphasizing the need to actively steer it.

Until this point we looked into how organizations work, but how do you change them? This is the topic of our next session.

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